Aga Khan University Examination Board

Notes from E-Marking Centre on HSSC-II Banking Examination April /May 2019

Introduction

This document has been produced for the teachers and candidates of the Higher Secondary School Certificate (HSSC) Part II Banking. It contains comments on candidates' responses to the 2019 HSSC-II Banking Examination, indicating the quality of the responses and highlighting their relative strengths and weaknesses.

E-Marking Notes

This includes overall comments on candidates' performance on every question and *some* specific Examples of candidates' responses which support the mentioned comments. Please note that the descriptive comments represent an overall perception of the better and weaker responses as gathered from the e-marking session. However, the candidates' responses shared in this document represent some specific Examples of the mentioned comments.

Teachers and candidates should be aware that examiners may ask questions that address the Student Learning Outcomes (SLOs) in a manner that require candidates to respond by integrating Knowledge, Understanding and Application skills they have developed during the course of their study. Candidates are advised to read and comprehend each question carefully before writing the response to fulfil the demand of the question.

Candidates need to be aware that the marks allocated to the questions are related to the answer space provided on the examination paper as a guide to the length of the required response. A longer response will not in itself lead to higher marks. Candidates need to be familiar with the command words in the SLOs which contain terms commonly used in examination questions. However, candidates should also be aware that not all questions will start with or contain one of the command words. Words such as 'how', 'why' or 'what' may also be used.

General comments

The responses reflected that the candidates have attempted the paper well, however, there is still room for improvement. In many *weaker responses*, candidates were unable to interpret the given statement or information. The approach was mostly general rather than specific or with reference to the given statement or information. It was also observed that the low scoring candidates could not comprehend the questions' command words well, thus they were unable to understand the requirement of the questions. However, candidates performed well in numerical based question as most of the candidates had applied the correct formula and computed the required result with accuracy.

Note: Candidates' responses reproduced in this report have not been corrected for grammar, spelling, format or factual information.

Detailed Comments:

Constructed Response Questions (CRQs)

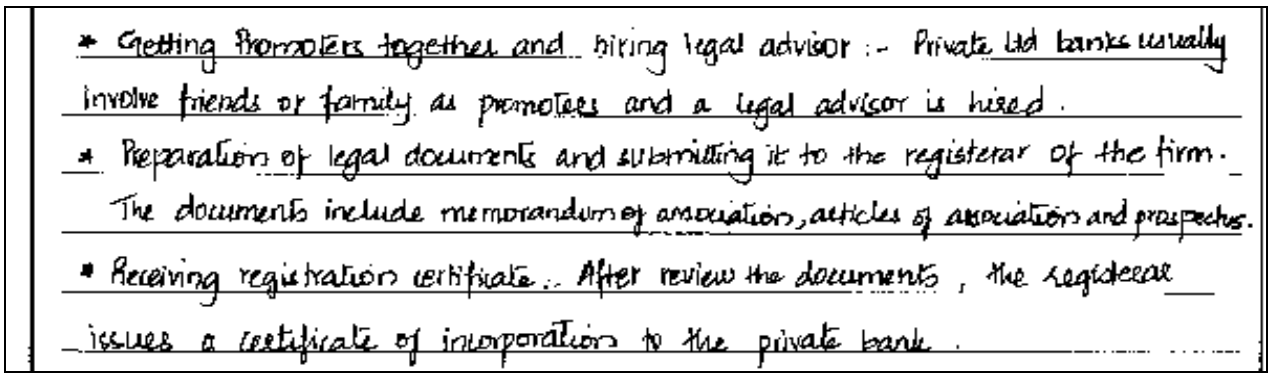
Question 1:

Commercial banks are generally formed through legislation and the company's ordinance/ act.

Explain the general procedure followed to establish a private limited bank in Pakistan.

Better responses mentioned the general procedure to establish a private bank in Pakistan under Companies' Act 2017. These responses correctly explained the elements and procedures like promotional stage along with registration stage and incorporation stage. However, in very few responses candidates mentioned the establishment of commercial banks through legislation and the formation of private limited bank by the house of public representatives or parliamentarians.

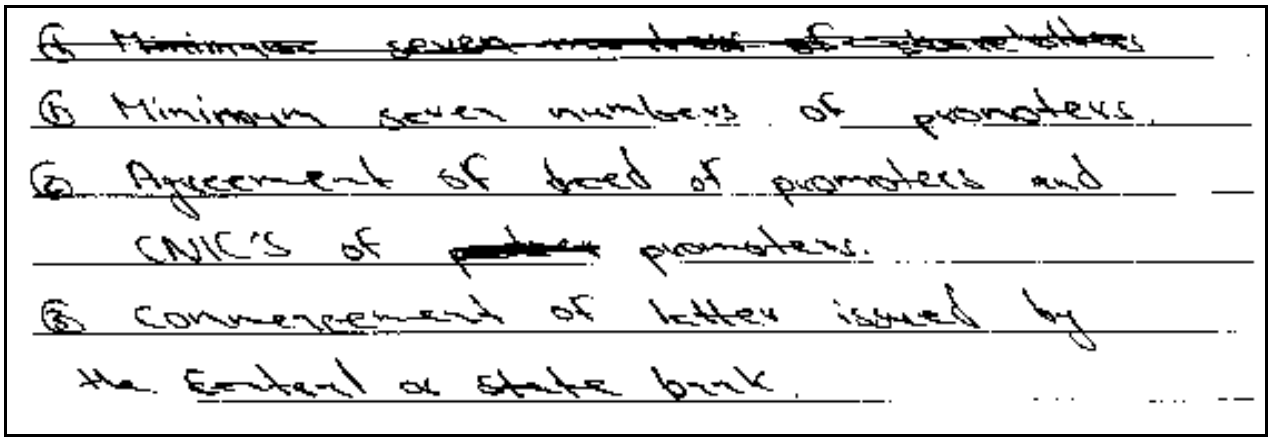
Example:



* Getting Promoters together and hiring legal advisor :- Private Ltd banks usually involve friends or family as promoters and a legal advisor is hired.
* Preparation of legal documents and submitting it to the registerar of the firm. The documents include memorandum of association, articles of association and prospectus.
* Receiving registration certificate :- After review the documents, the registerar issues a certificate of incorporation to the private bank.

In *weaker responses*, candidates were unable to comprehend the question and wrote irrelevant answers related to the formation of a central bank rather than focusing on the procedure of forming a commercial bank through a company's ordinance or legislation.

Example:



(a) [illegible]
(b) Minimum seven numbers of promoters.
(c) Agreement of head of promoters and CNIC's of promoters.
(d) Commencement of letter issued by the Central or State bank.

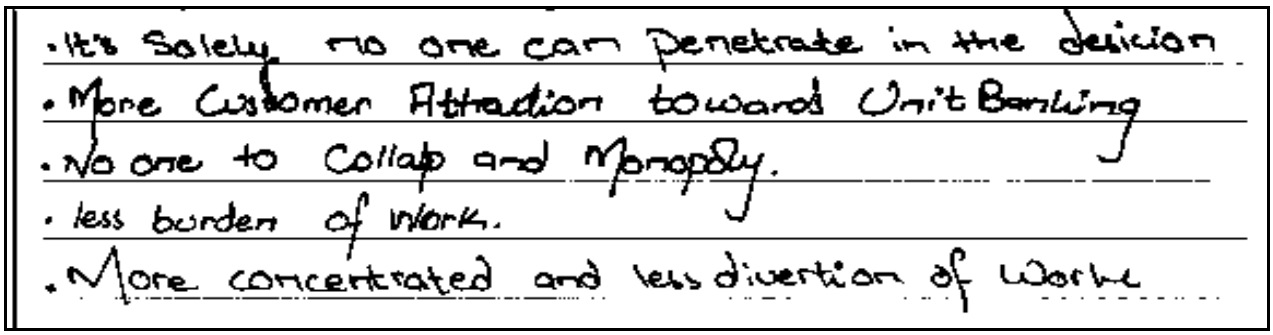
Question 2:

Describe any THREE merits of unit banking.

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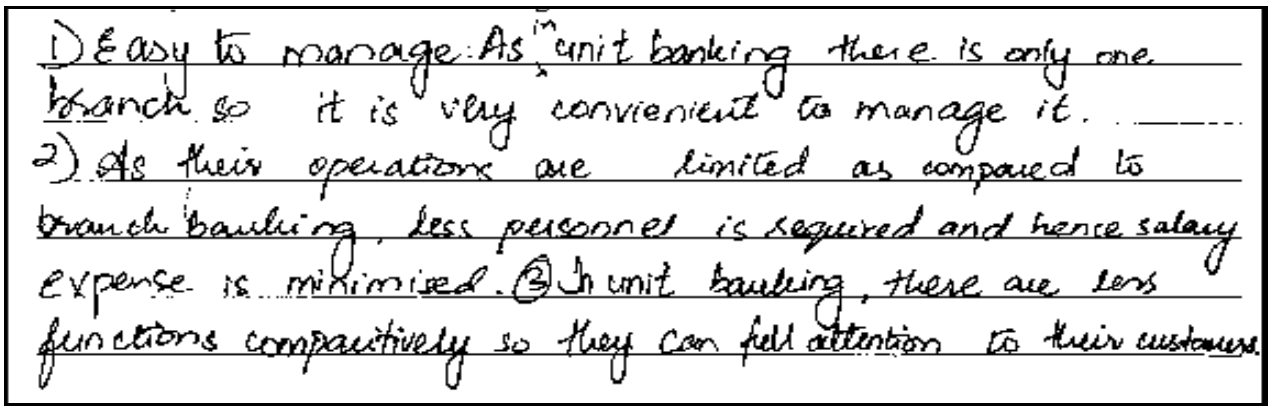
Better responses described the merits of unit banking correctly. These responses included merits like providing efficient, personalised and prompt services. However, some candidates composed answers from a banker's perspective mentioning merits such as economies of scale, reducing monopoly and utilisation of financial resources at the local level. Both aspects were considered as correct as merit can be judged from both perspectives.

Example:



Weaker responses showed that the candidates were unable to fulfil the demand of the questions. Mostly, candidates wrote one or two merits correctly. In most of the weaker responses, candidates mentioned features related to branch banking which were irrelevant. This implies that the candidates' unit and branch banking systems, confusing the two and writing about the merits of branch banking rather than unit banking. For example customer can withdraw from any nearby outlet.

Example:



Question 3:

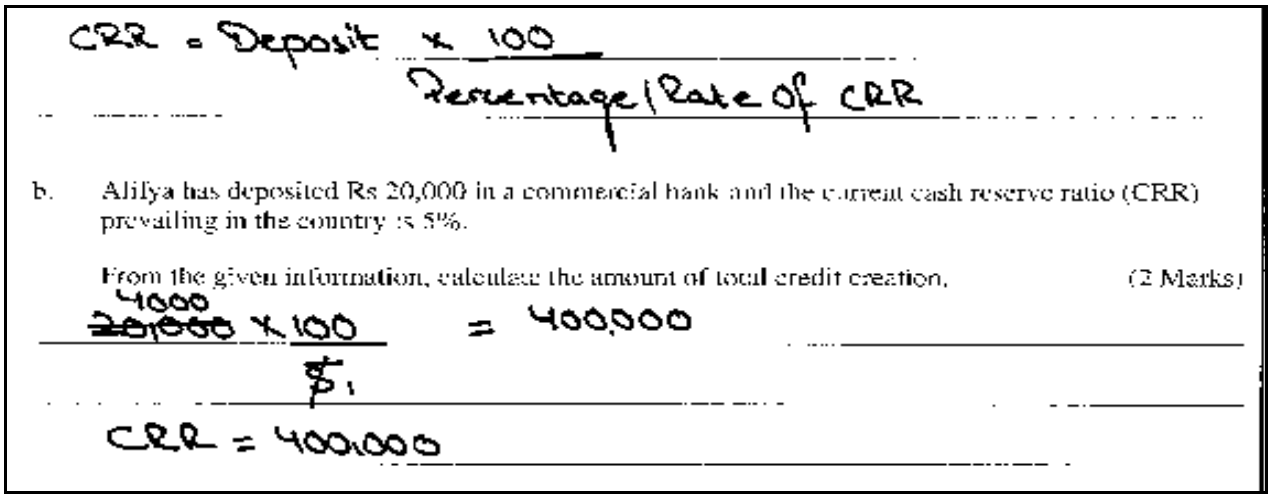
a. Write the formula for computing credit creation.

b. Alifya has deposited Rs 20,000 in a commercial bank and the current cash reserve ratio (CRR) prevailing in the country is 5%.

From the given information, calculate the amount of total credit creation.

Better responses correctly wrote the formula and computed the answers with accuracy. However, in few responses candidates computed the amount directly without showing the working for computations as shown in the example below:

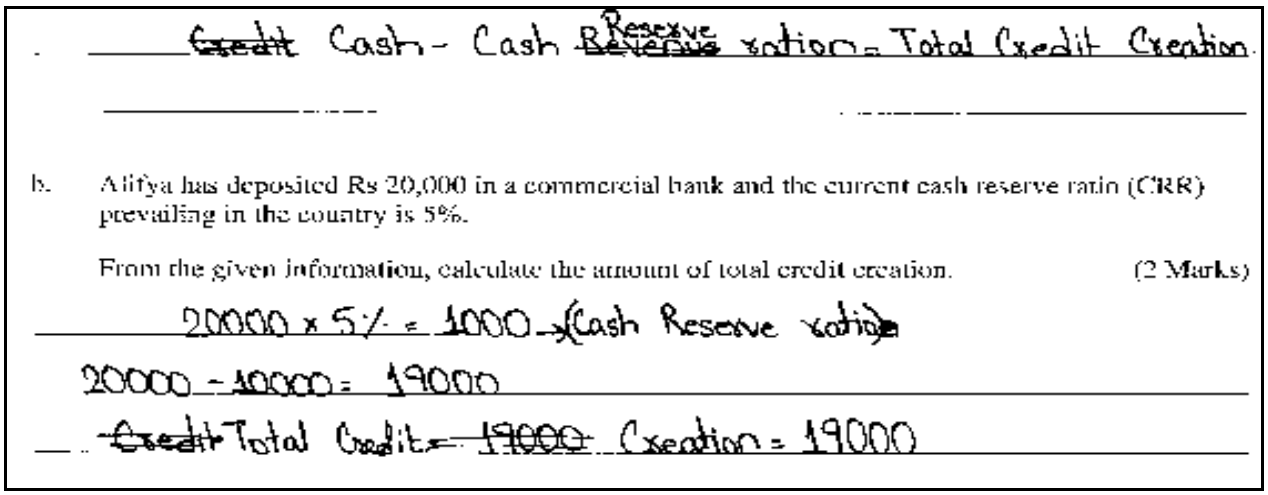
Example:



Weaker responses were unable to identify the correct formula; hence the candidates, tried to solve the given numerical problem with irrelevant approaches. In few responses candidates rather writing formula wrote the concept of cash reserve ratio (CRR) which was not required.

However, in few responses, candidates correctly mentioned and applied the formula but somehow were unable to compute the amount of credit creation by errors in calculation or summations thus, were unable to score maximum marks.

Example:

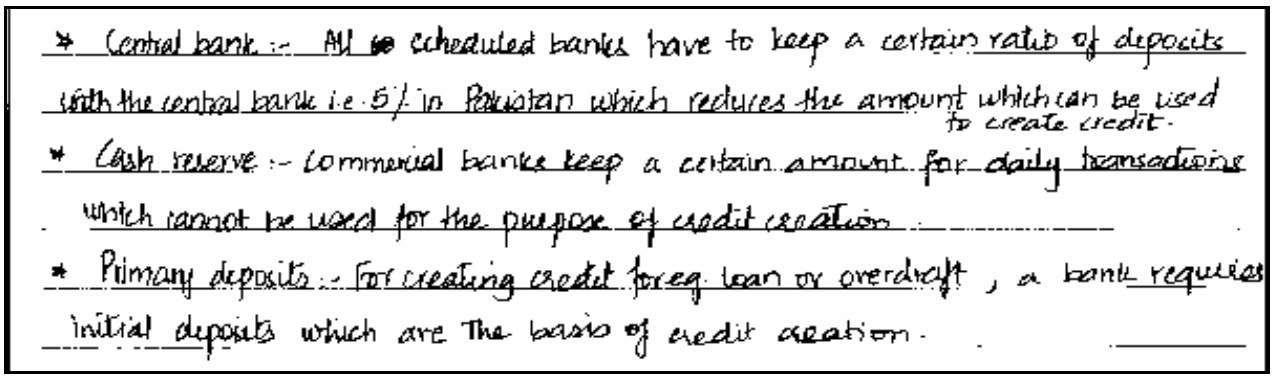


Question 4:

Describe any THREE limitations of credit creation in an economy.

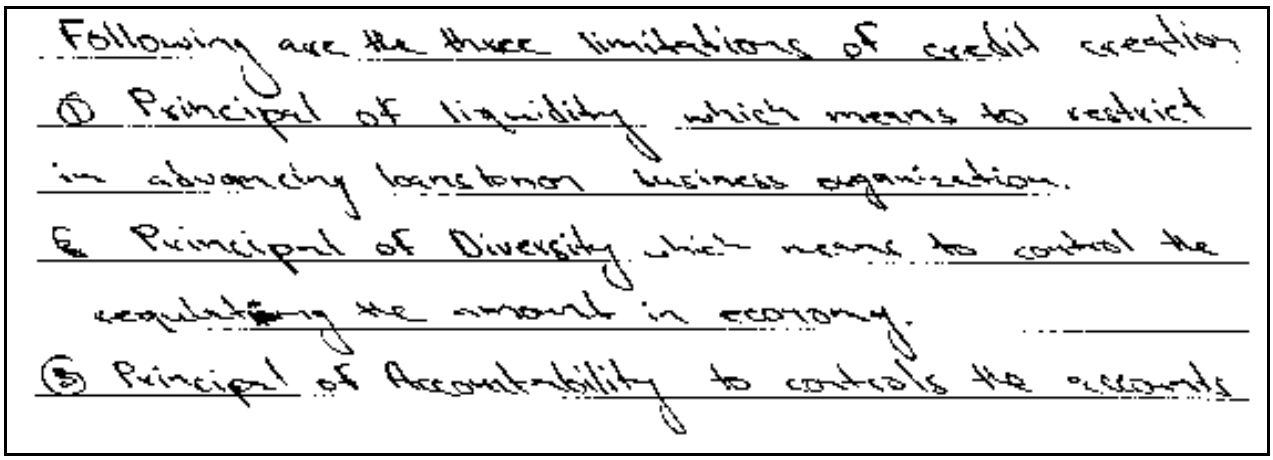
Better responses depicted that the candidates had good understanding about the limitations of credit creation in an economy. Most of the candidates highlighted that credit creation is directly dependant on factors such as depositor's deposit, central bank's reserve ratio and leakages from an economy.

Example:



Weaker responses were not able to describe the limitations of credit creation. In most of the weaker responses, candidates mixed credit creation concept with limitation of personal credits which was irrelevant.

Example:


Following are the three limitations of credit creation
① Principal of liquidity which means to restrict in advancing loans to non business organization.
② Principal of Diversity which means to control the regulating the amount in economy.
③ Principal of Accountability to controls the accounts

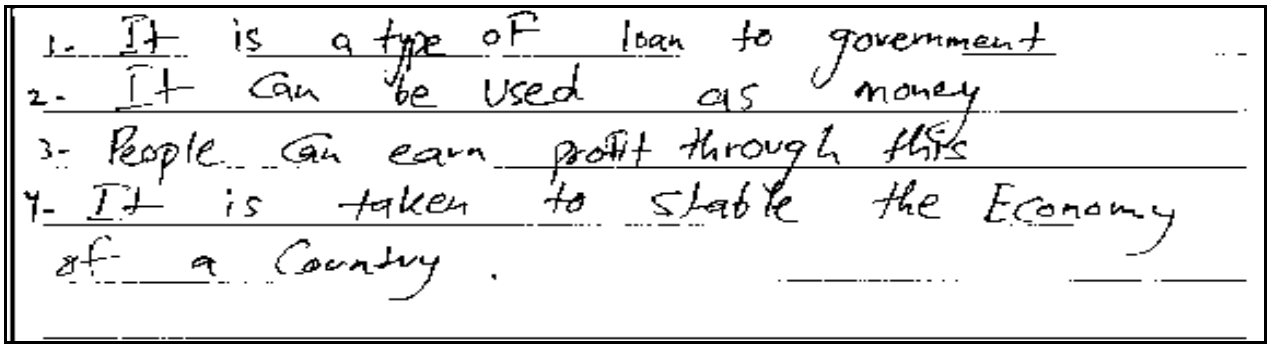
Question 5:

State Bank of Pakistan, in order to meet the deficit of balance of payment (BoP) issues Market Treasury Bills (MTBs).

Mention any FOUR features of the above issued treasury bills.

Better responses described the features of treasury bills correctly with reference to its issuance to meet the Balance of Payment (BoP) deficit. Mostly responses mentioned features that it's a type of loan of government; it is issued at a discount but redeemed at par, and sold out through auctions.

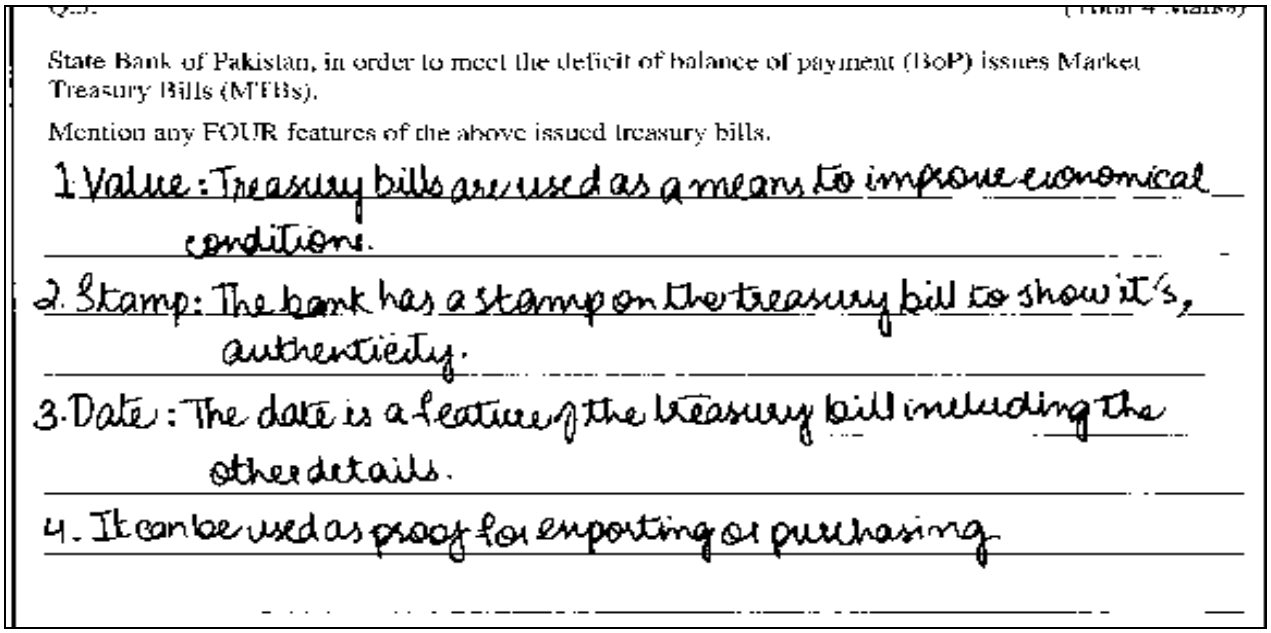
Example:


1- It is a type of loan to government
2- It can be used as money
3- People can earn profit through this
4- It is taken to stable the Economy of a Country.

Weaker responses were unable to mention even two features. Generally, they overlapped or mixed the features of promissory notes and prize bonds with each other which are issued by the State Bank of Pakistan (SBP). In few responses, the candidates generally wrote about the features and significance of other financial instruments rather than treasury bills.

In some responses, the candidates were not able to connect features to the given statement. Most of these responses mentioned its public debt nature, dominations and tenure; and few responses have mentioned about assured yield and low transaction costs.

Example:



State Bank of Pakistan, in order to meet the deficit of balance of payment (BoP) issues Market Treasury Bills (MTBs).

Mention any FOUR features of the above issued treasury bills.

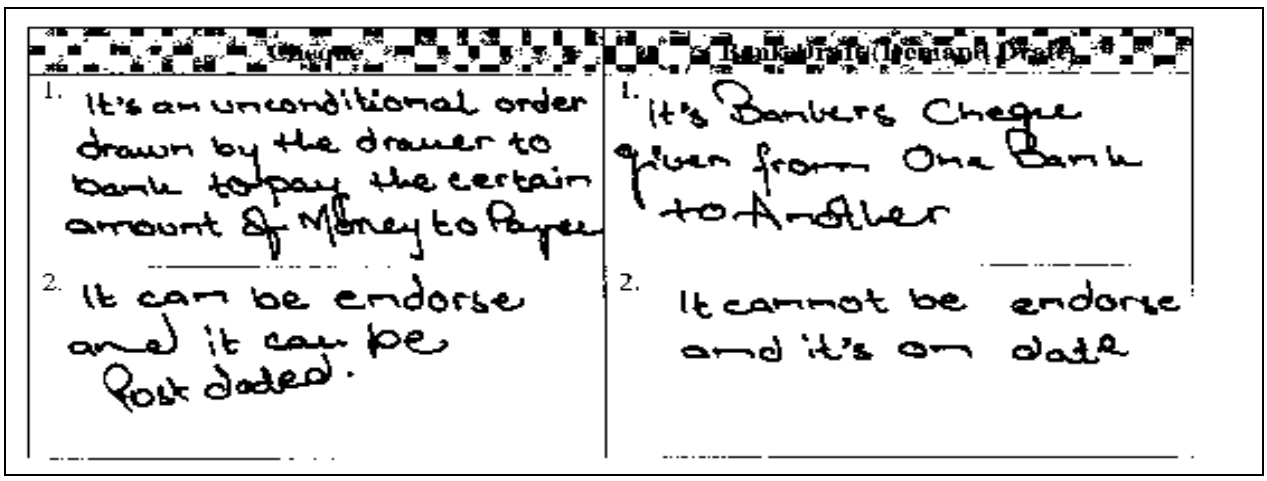
1. Value: Treasury bills are used as a means to improve economical conditions.
2. Stamp: The bank has a stamp on the treasury bill to show it's, authentiety.
3. Date: The date is a feature of the treasury bill including the other details.
4. It can be used as proof for exporting or purchasing

Question 6:

Mention any TWO differences between a cheque and a bank demand draft.

Better responses correctly differentiated between a cheque and a bank draft. These responses included the distinguishing points on the basis of on parties to credit instruments, endorsement, withdrawal or transfer of payments.

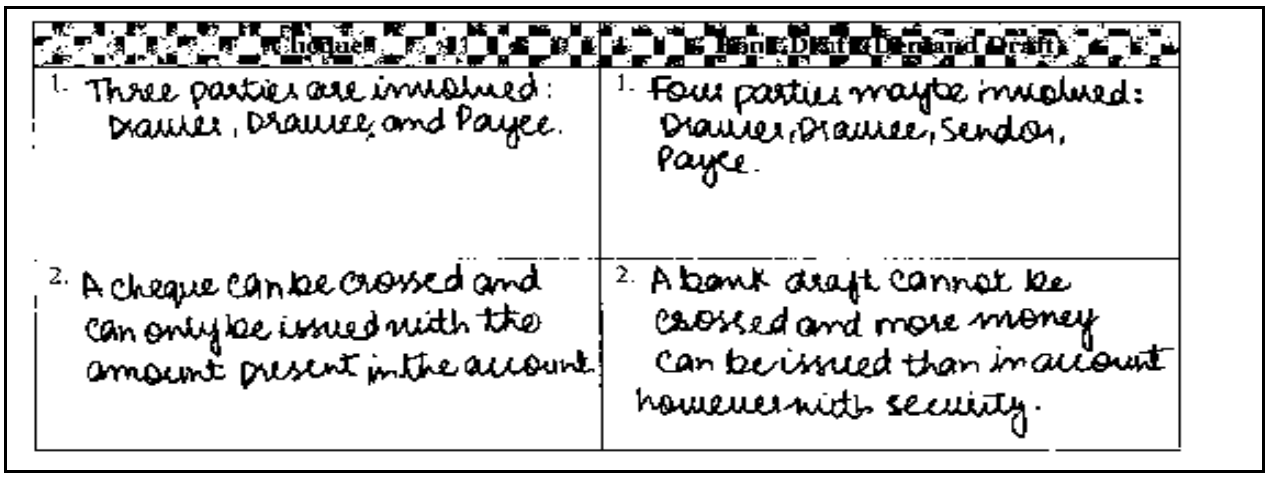
Example:



1. It's an unconditional order drawn by the drawer to bank to pay the certain amount of Money to Payee	1. It's Bankers Cheque given from One Bank to Another
2. It can be endorse and it can be Post dated.	2. It cannot be endorse and it's on date

Weaker responses were unable to differentiate between the features of a cheque and a demand draft. In few weaker responses, candidates did not use key terms and characteristics to distinguish between the given instruments. Moreover, these responses mentioned irrelevant points such as limited and unlimited time frame or issuance of bank draft via a central bank.

Example:



Cheque	Bank Draft (Demand Draft)
1. Three parties are involved: Drawer, Drawee and Payee.	1. Four parties maybe involved: Drawer, Drawee, Sender, Payee.
2. A cheque can be crossed and can only be issued with the amount present in the account.	2. A bank draft cannot be crossed and more money can be issued than in account however with security.

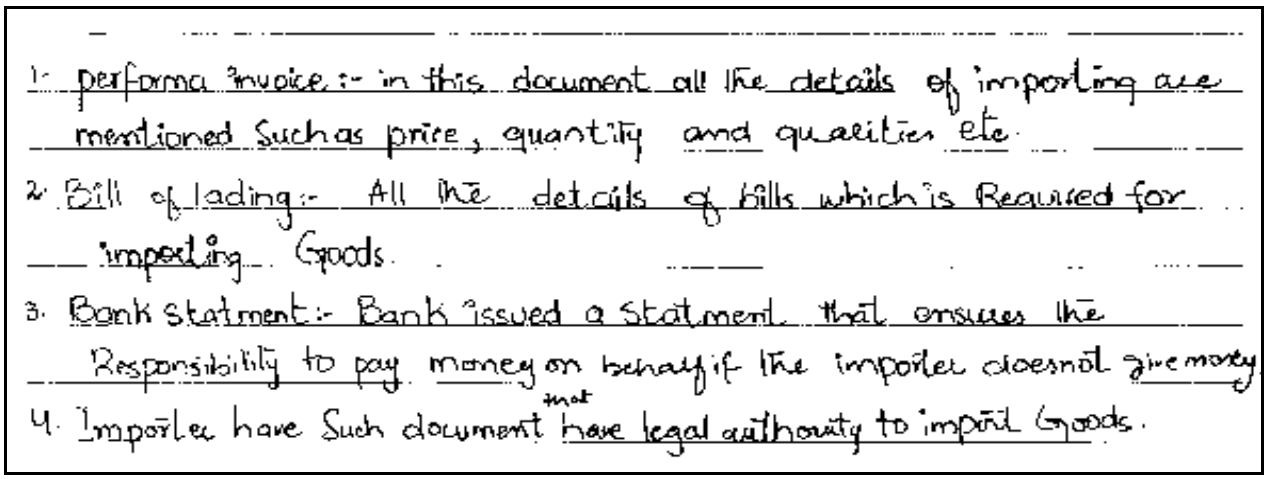
Question 7:

Ali entered into a contract with an overseas supplier to import smartphones. For that, he requires a letter of credit (L/C).

In the given situation, discuss any FOUR steps/ documents that Ali will require for opening L/C.

Better responses discussed the four steps or documents required for the opening of letter of credit (L/C). Most of the better responses discussed about formal contracts, performa invoices, purchase order and insurance policies.

Example:



1:- performa invoice :- in this document all the details of importing are mentioned such as price, quantity and qualities etc.

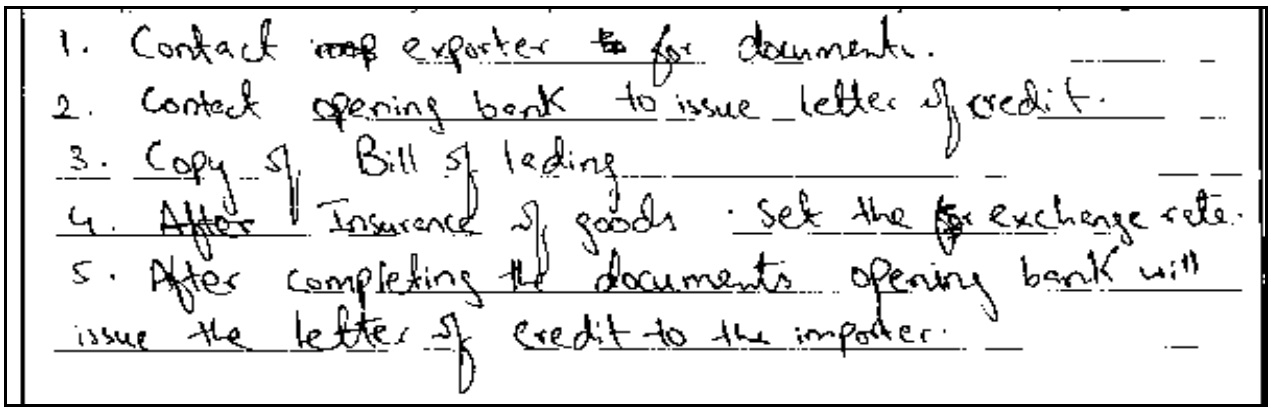
2. Bill of lading :- All the details of bills which is required for importing Goods.

3. Bank statment :- Bank issued a statment that ensures the Responsibility to pay money on behalf if the importer doesnot give money

4. Importer have such document not have legal authority to import Goods.

Weaker responses were not sure about the procedure and documents for L/C. In most of the weak responses, candidates explained the meaning, significance or features of L/C.

Example:

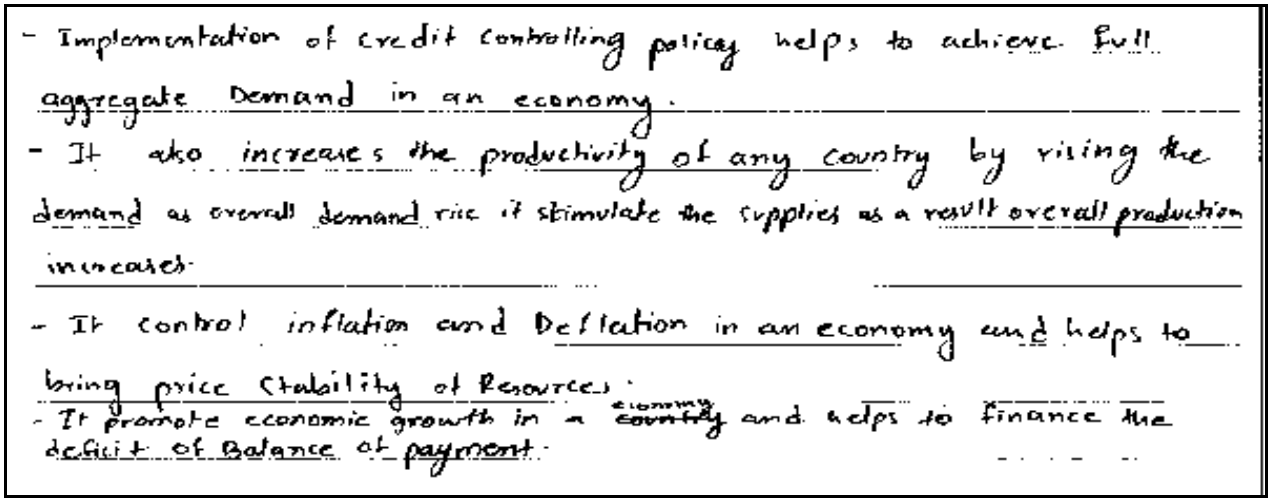

1. Contact exporter for documents.
2. Contact opening bank to issue letter of credit.
3. Copy of Bill of lading
4. After Insurance of goods · Set the exchange rate.
5. After completing the documents opening bank will issue the letter of credit to the importer.

Question 8:

Central bank of a country designs policies for controlling credit in an economy. Explain any FOUR objectives of such policy.

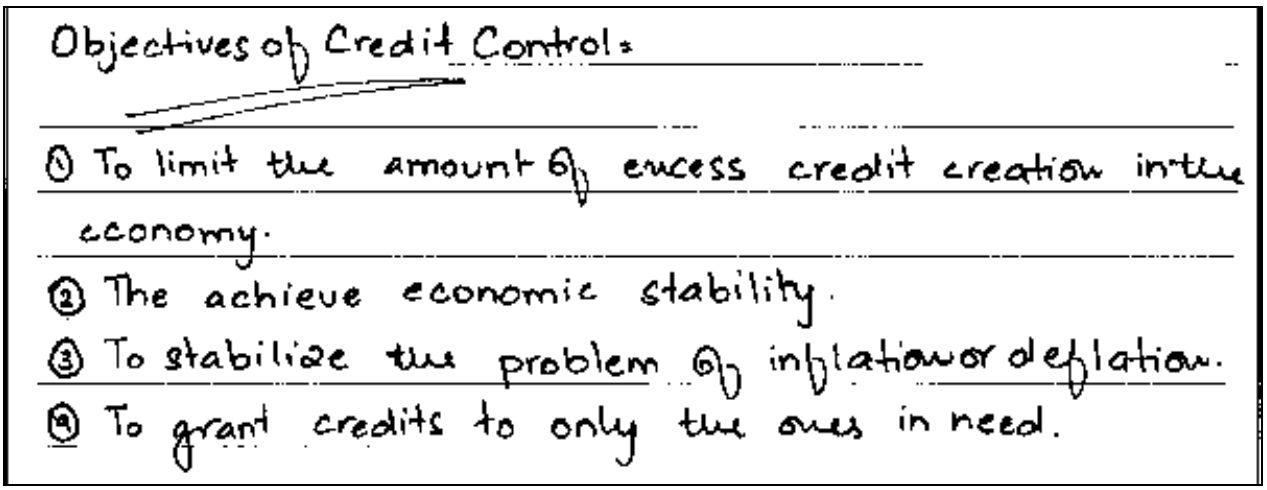
Better responses comprehended the question well and composed a brief answer relating to the given statement. Mostly better responses elaborated the functions of central bank as a guardian of gold reserves, a custodian of foreign reserves and a controlling and monitoring authority of exchange rate in the economy. A very few better responses explained involvement of central bank in achieving persistent economic growth and development of an economy.

Example:


- Implementation of credit controlling policy helps to achieve full aggregate Demand in an economy.
- It also increases the productivity of any country by rising the demand as overall demand rise it stimulate the supplies as a result overall production increased.
- It control inflation and Deflation in an economy and helps to bring price stability of Resources.
- It promote economic growth in a economy and helps to finance the deficit of Balance of payment.

Weaker responses were unable to compose answers with relation to the given statement. Mostly candiadtes wrote about functions such as issuing currency notes, controlling banking sector or last resort for credit in the economy. They wrote irrelevant such as bringing political and social stability, improve in currency exchange rate and appreciation of currency evaluation.

Example:


Objectives of Credit Control:

① To limit the amount of excess credit creation in the economy.

② The achieve economic stability.

③ To stabilize the problem of inflation or deflation.

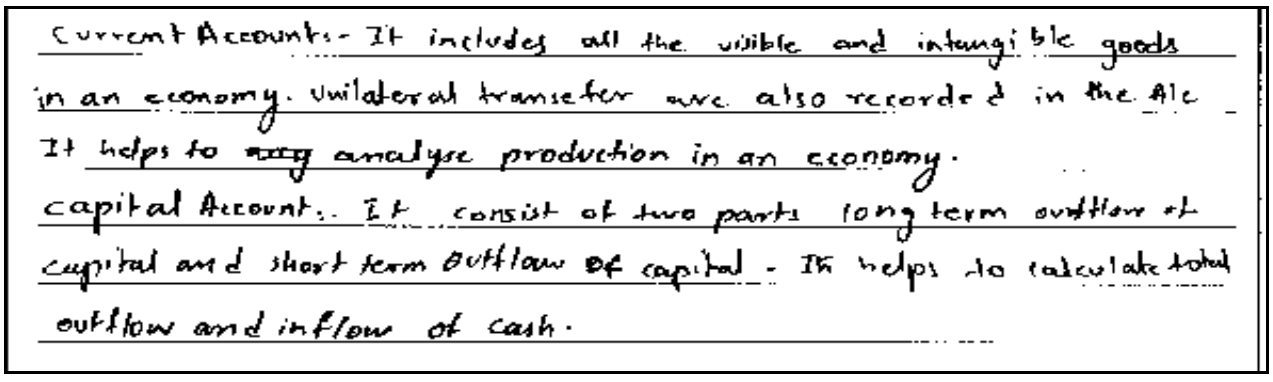
④ To grant credits to only the ones in need.

Question 9a:

Explain features of any TWO components of balance of payment (BoP).

Better responses depicted that the question was well attempted by the candidates. Mostly the better responses mentioned the key heads, i.e. the financial account, the capital account and the current account. They mentioned the component, such as foreign transfer, remittances, purchase and disposal of fixed assets, grants, and foreign debts. In some responses, the candidates also mentioned the conditions related to BoP surplus and deficits.

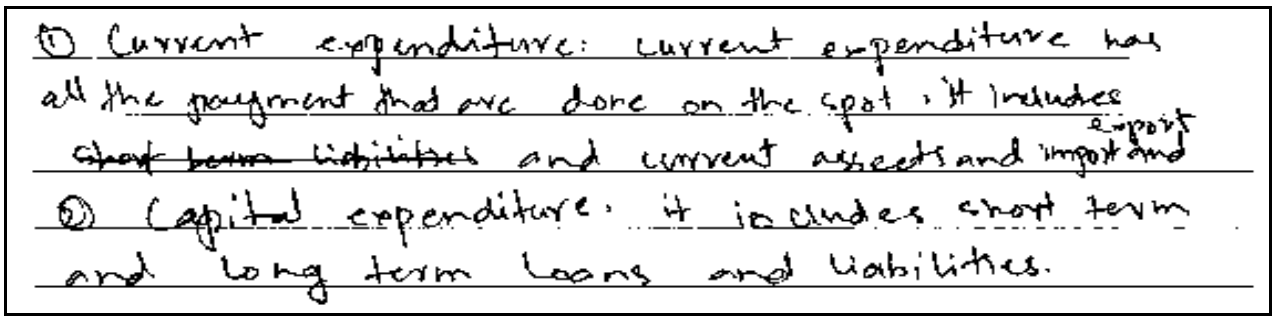
Example:


Current Accounts:- It includes all the visible and intangible goods in an economy. Unilateral transefer are also recorded in the A/c It helps to ~~any~~ analyse production in an economy.

capital Account:- It consist of two parts long term outflow of capital and short term outflow of capital - It helps to calculate total outflow and inflow of cash.

In *weaker responses,* mostly candidates were not familiar with the features of balance of payment (BoP) account heads. Mostly they mentioned features related to personal current accounts an individual operates. Some of them wrote irrelevant definitions of current account or capital expenditure as shown in the given example.

Example:

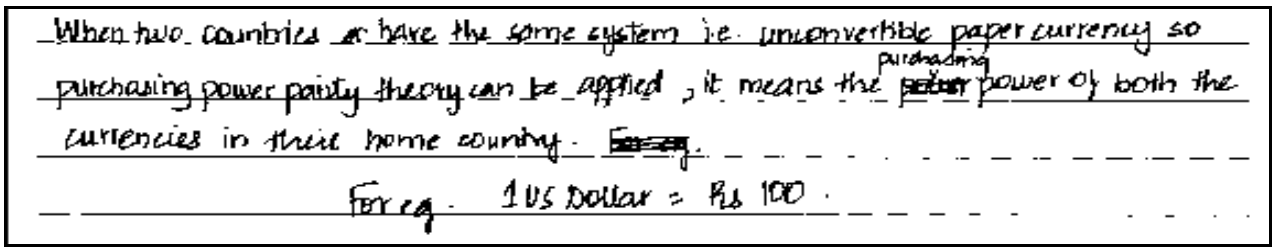


Question 9b:

Explain the Purchasing Power Parity (PPP) theory along with its formula.

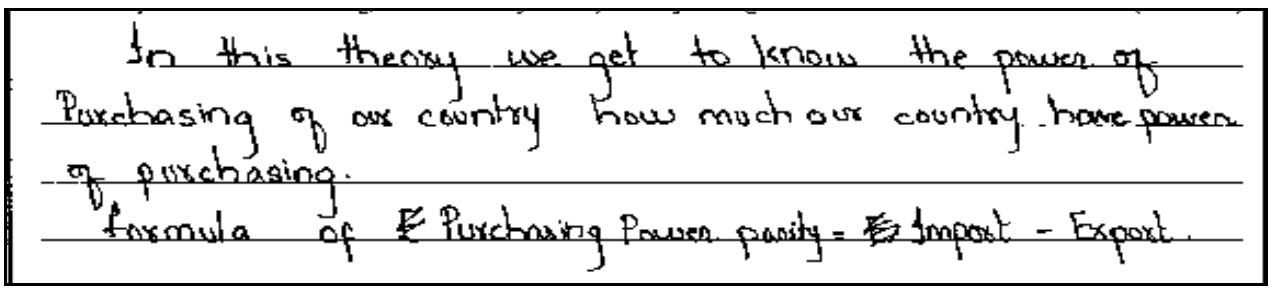
In *better responses,* candidates explained the purchasing power parity (PPP) theory along with its formula. Moreover, the question was not well attempted by majority of candidates. The better responses described as a relative comparison of purchasing power between two countries. Few responses explained it through 'basket of goods' approach.

Example:



In w*eaker responses* the candidates were unable to describe the theory and write its formula. Some responses confused the theory with the concepts of demand, concept of supply and international rade. These responses described the purchasing power as the country is power to purchase from foreign markets.

Example:

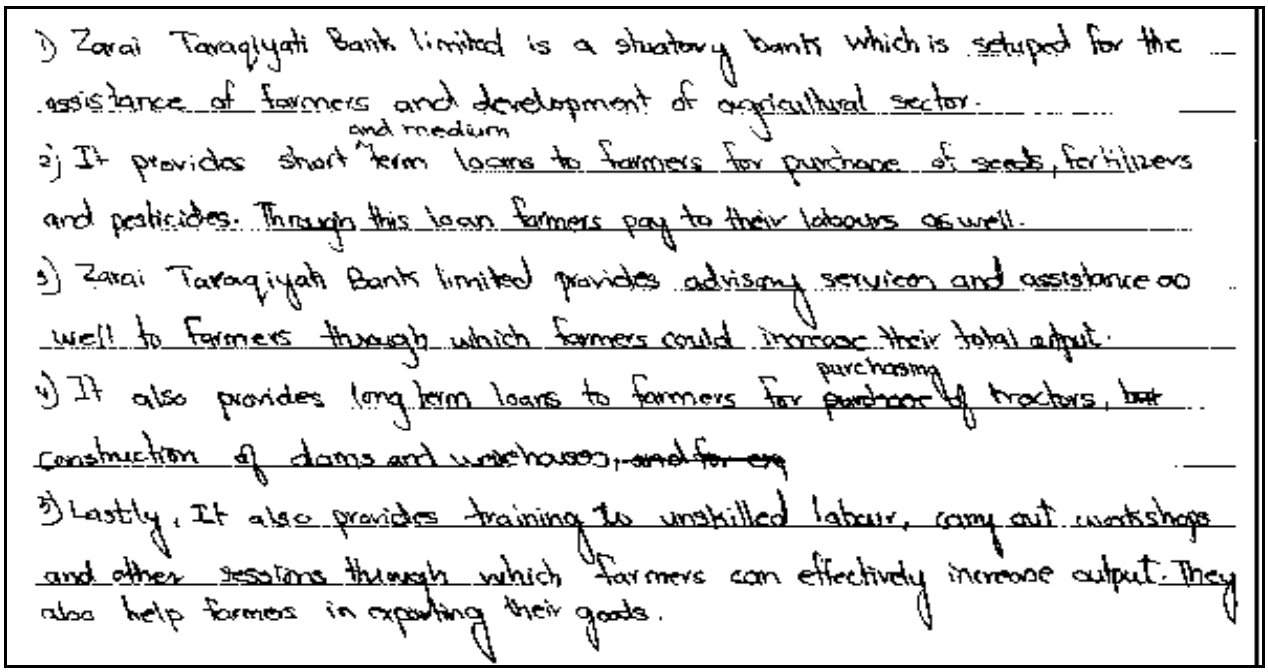


Question 10:

Describe any FIVE functions of Zarai Taraqiyati Bank Limited (ZTBL).

This question was well attempted by the candidates. *Better responses* depicted five functions of Zarai Taraqiyati Bank Limited (ZTBL). Most responses mentioned that ZBTL provides easy loans for purchasing seeds and equipment, funding source for installing tube wells or mechanising of farms on modern systems and provides financial counselling and advisory to the farmers. Some responses mentioned that it also provide funds for research and development projects.

Example:


1) Zarai Taraqiyati Bank limited is a statory bank which is setuped for the assistance of farmers and development of agricultural sector.

2) It provides short and medium term loans to farmers for purchase of seeds, fertilizers and pesticides. Through this loan farmers pay to their labours as well.

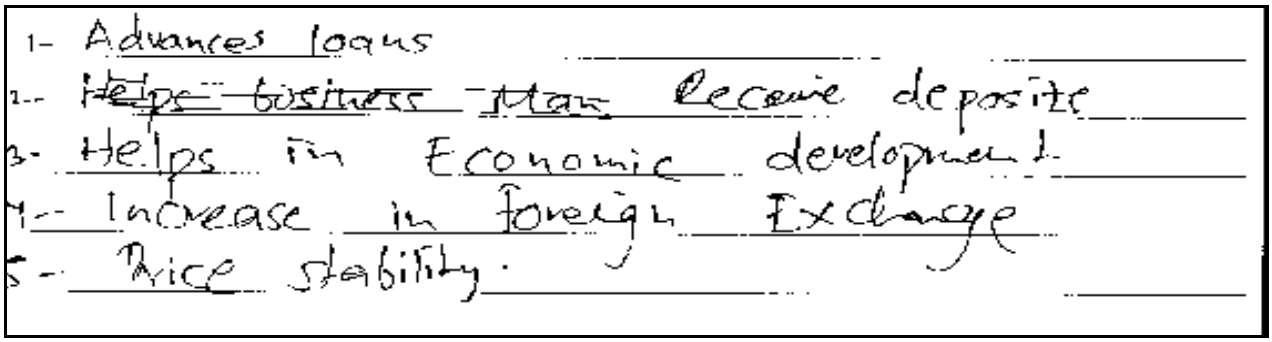
3) Zarai Taraqiyah Bank limited provides advisory services and assistance as well to farmers through which farmers could increase their total output.

4) It also provides long term loans to farmers for purchasing of tractors, ~~construction of dams and warehouses, and for eg~~

5) Lastly, It also provides training to unskilled labour, carry out workshops and other sessions through which farmers can effectively increase output. They also help farmers in exporting their goods.

Weaker responses were not able to describe five functions of ZTBL. In few weaker responses, candidates wrote functions which were not relevant to the ZTBL such as earning foreign exchange, providing loans to small scale industries and foreign exchange or bringing price stability. Some of the weaker responses mentioned that ZBTL provides subsidies on agricultural goods or on purchase of extra surplus farm production.

Example:


1- Advances loans

2- ~~Helps business~~ Man Receive deposite

3- Helps in Economic development

4- Increase in foreign Exchange

5- Price stability.

Extended Response Questions (ERQs)

This question had two parts with a choice between part **a** and part **b**. Part **a** was related to mentioning the SoP of opening of a bank account whereas, part **b** was about the objectives of a monetary policy. Most of the candidates opted for part **a** and they performed fairly well in this part.

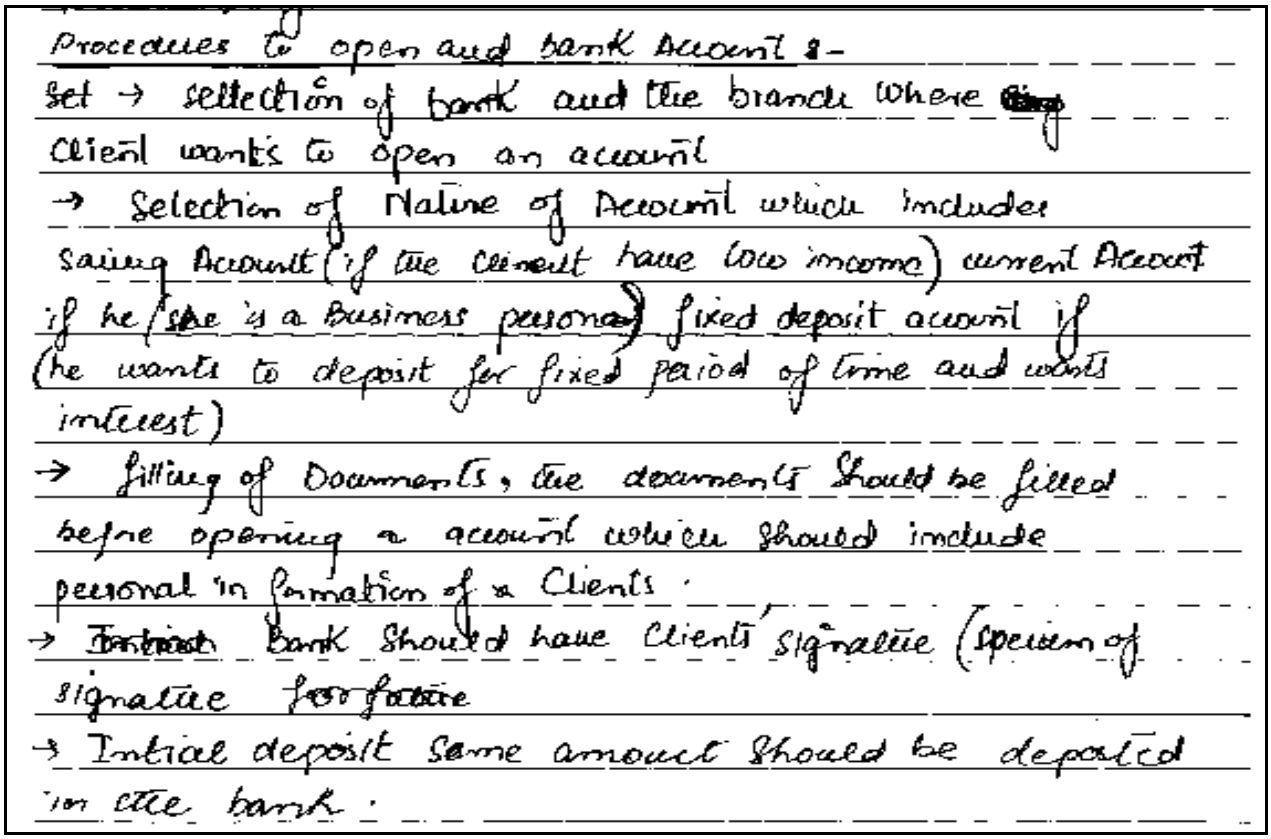
Question 11a:

Adil is an account opening officer in a bank. His job description entails him to provide similar facilitation to new clients. In order to make his job easier, he plans to develop a standard operating procedures (SoP) that lists the prerequisites for opening a personal bank account.

Describe any THREE features he should mention in the SoP.

In *better responses* candidates composed their answer comprising of the features essential for opening a personal bank account at a commercial bank that should be part of standard operating procedures (SoP). They mentioned in detail the initial deposit and documents requirement, selection of type of account and services opted such as debit cards or cheque books. However, in few responses candidate stated the features rather than describing them.

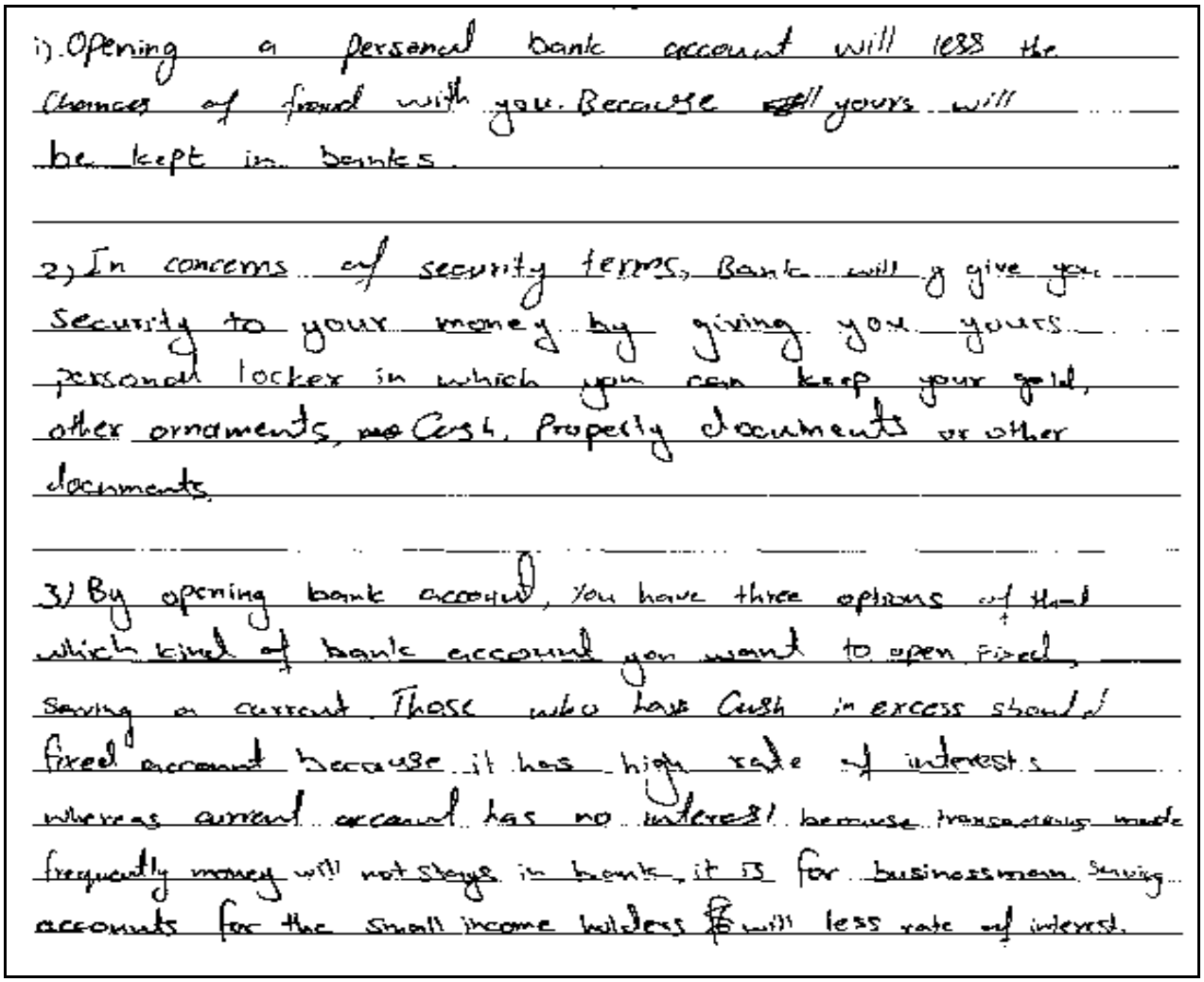
Example:



Procedures to open and bank Account :-
Set → selection of bank and the branch where client wants to open an account
→ Selection of Nature of Account which includes saving Account (if the client have low income) current Account if he/she is a business personal fixed deposit account if (he wants to deposit for fixed period of time and wants interest)
→ filling of Doaments, the deaments should be filled before opening a account which should include personal information of a Clients.
→ ~~Intrest~~ Bank should have clients signature (specimen of signature for future
→ Intial deposit same amount should be deposited in the bank :

In *weaker responses*, most candidates were not able to describe the features of standard operating procedures (SoP) correctly. Most of them listed the documents /procedures required but not in a step- by-step manner. Few responses mentioned the importance or significance of opening a bank account.

Example:



i). Opening a personal bank account will less the chances of fraud with you. Because ~~all~~ yours will be kept in banks.

2) In concerns of security terms, Bank will give you security to your money by giving you yours personal locker in which you can keep your gold, other ornaments, ~~no~~ Cash, Property documents or other documents.

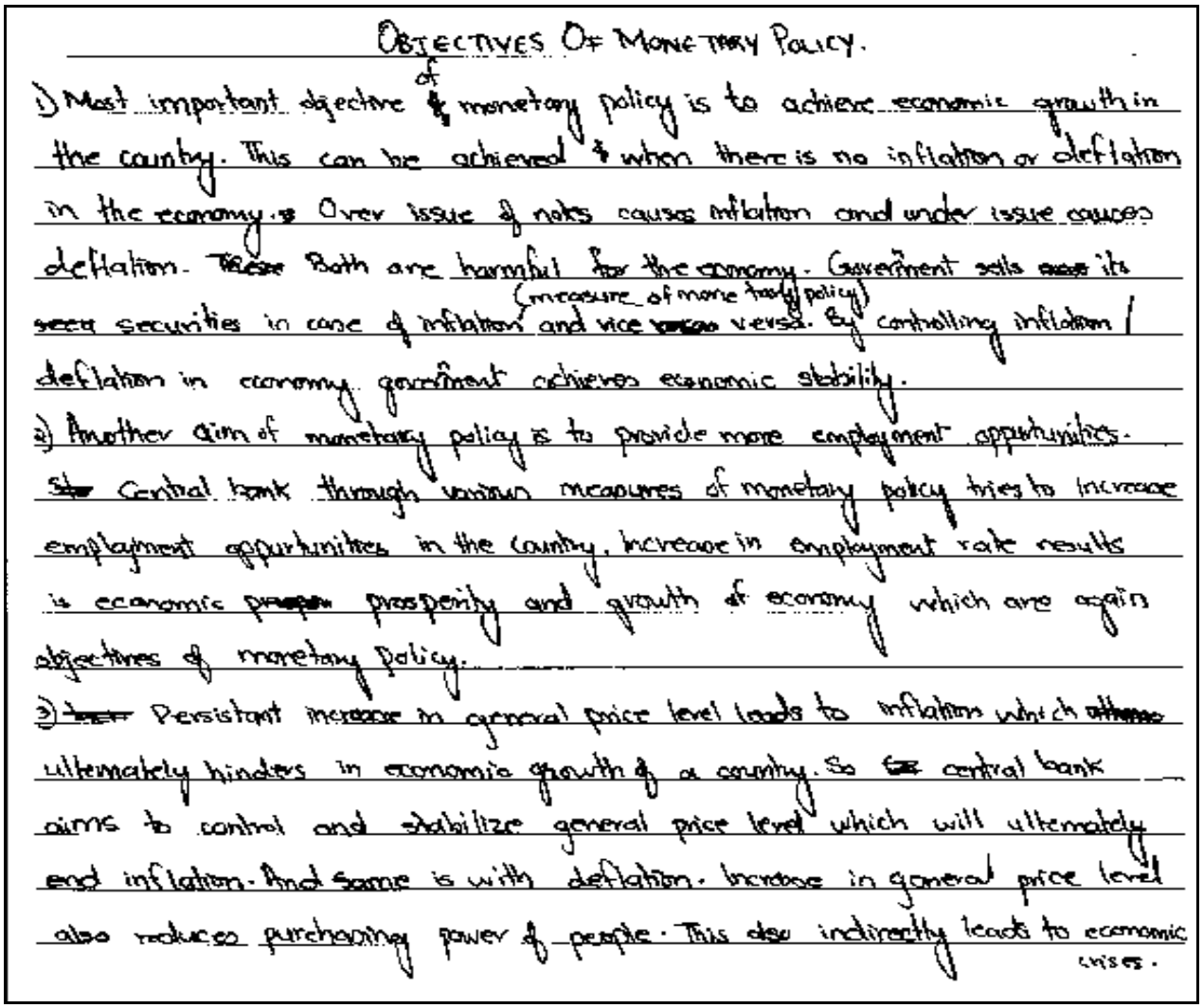
3) By opening bank account, you have three options of that which kind of bank account you want to open fixed, Saving or current. Those who have Cash in excess should fixed account because it has high rate of interest. whereas current account has no interest because transactions made frequently money will not stays in banks, it is for businessmen. Saving accounts for the small income holders ~~fo~~ will less rate of interest.

Question 11b:

Describe any THREE objectives of a monetary policy.

In *better responses*, candidates described the objectives of a monetary policy which mainly included achieving full employment in the economy, price stability, economic growth and balance of payment. The candidates, however, in few responses did mention about achieving a positive trade balance and a favourable exchange rate which was considered correct.

Example:



OBJECTIVES OF MONETARY POLICY.

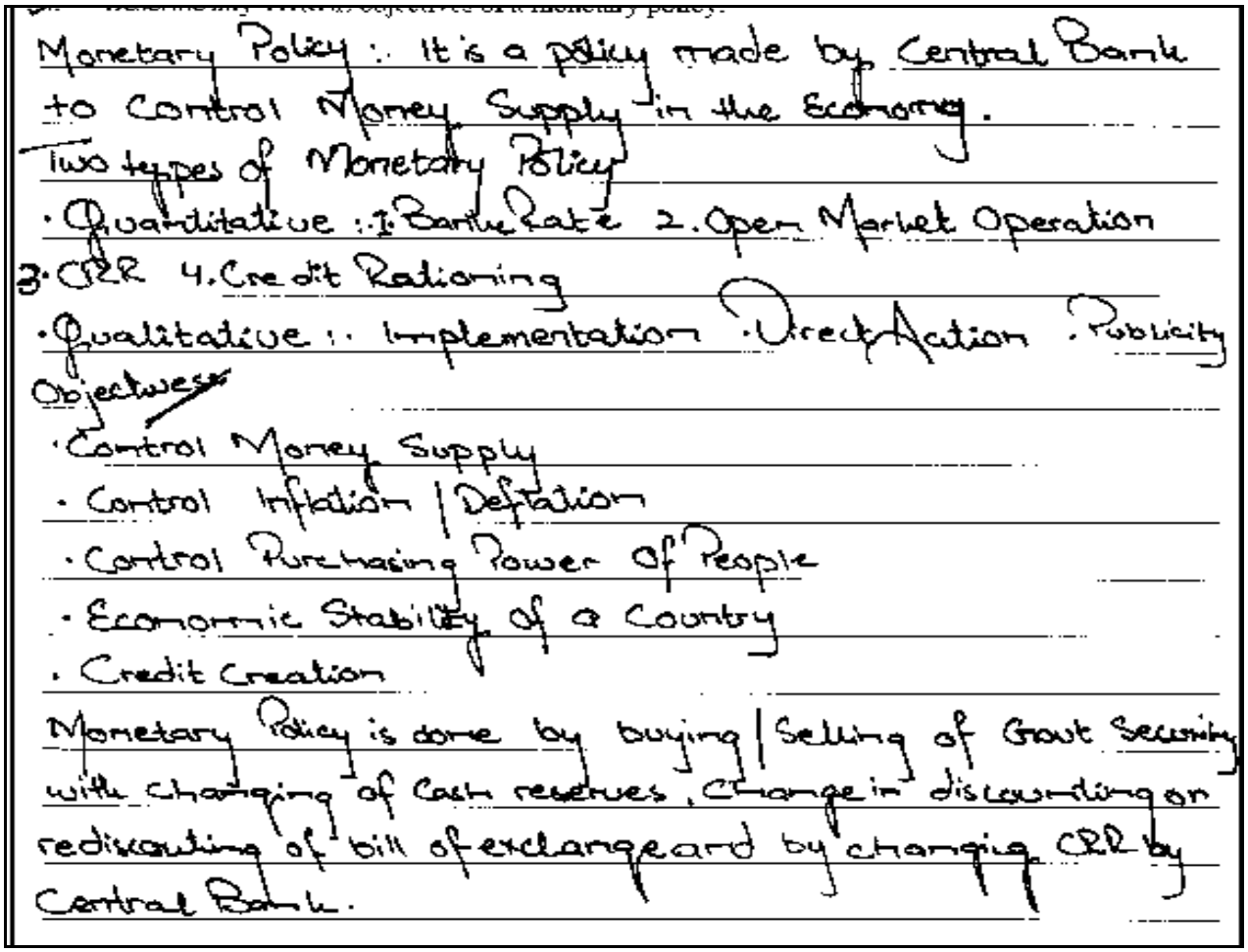
1) Most important objective of monetary policy is to achieve economic growth in the country. This can be achieved when there is no inflation or deflation in the economy. Over issue of notes causes inflation and under issue causes deflation. Both are harmful for the economy. Goverment sells its securities in case of inflation (measure of monetary policy) and vice versa. By controlling inflation / deflation in economy goverment achieves economic stability.

2) Another aim of monetary policy is to provide more employment opportunities. Central bank through various measures of monetary policy tries to increase employment opportunities in the country. Increase in employment rate results is economic prosperity and growth of economy which are again objectives of monetary policy.

3) Persistant increase in general price level leads to inflation which ultimately hinders in economic growth of a country. So central bank aims to control and stabilize general price level which will ultimately end inflation. And same is with deflation. Increase in general price level also reduces purchasing power of people. This also indirectly leads to economic crises.

In *weaker responses* candidates were unable to write the objectives of a monetary policy and wrote irrelevant points such as extending of tax rate, imposing duties on imports and exports.

Example:



Monetary Policy :. It is a policy made by Central Bank to Control Money Supply in the Economy.

Two types of Monetary Policy

- Quantitative :. 1. Bank Rate 2. Open Market Operation 3. CRR 4. Credit Rationing
- Qualitative :. Implementation . Direct Action . Publicity

Objectives

- Control Money Supply
- Control Inflation / Deflation
- Control Purchasing Power of People
- Economic Stability of a Country
- Credit Creation

Monetary Policy is done by buying / Selling of Govt Security with changing of Cash reserves, Change in discounting or rediscounting of bill of exchange and by changing CRR by Central Bank.

This question no 12 had two parts with a choice between part **a** and part **b**. Part **a** was related to differentiate between bearer, order and cross cheque whereas, part **b** was about describing characteristics of bill of exchange.

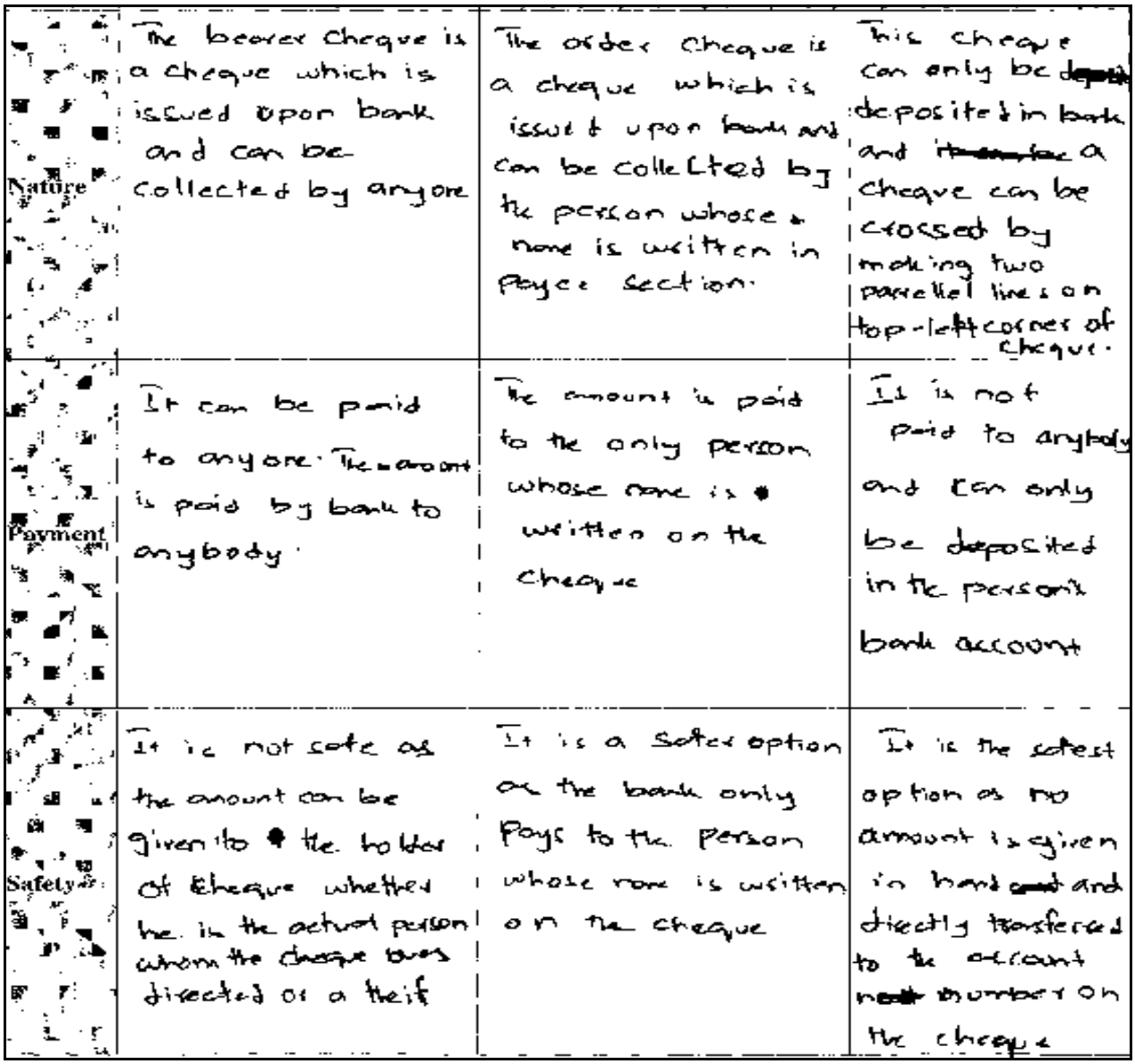
Question 12a:

Differentiate between bearer, order and cross cheques on the basis of the given criteria.

Criteria	Bearer Cheque	Order Cheque	Cross Cheque
Nature			
Payment			
Safety			

In *better responses*, candidates correctly distinguished between the bearer, order and cross cheques with reference to nature, payment and safety. These responses mentioned the differences in terms of nature with reference to drawer and payee, in terms of inland or foreign, its kinds and legal status. They distinguished in term its payment that includes commission and discounting and they distinguished safety and confidentiality.

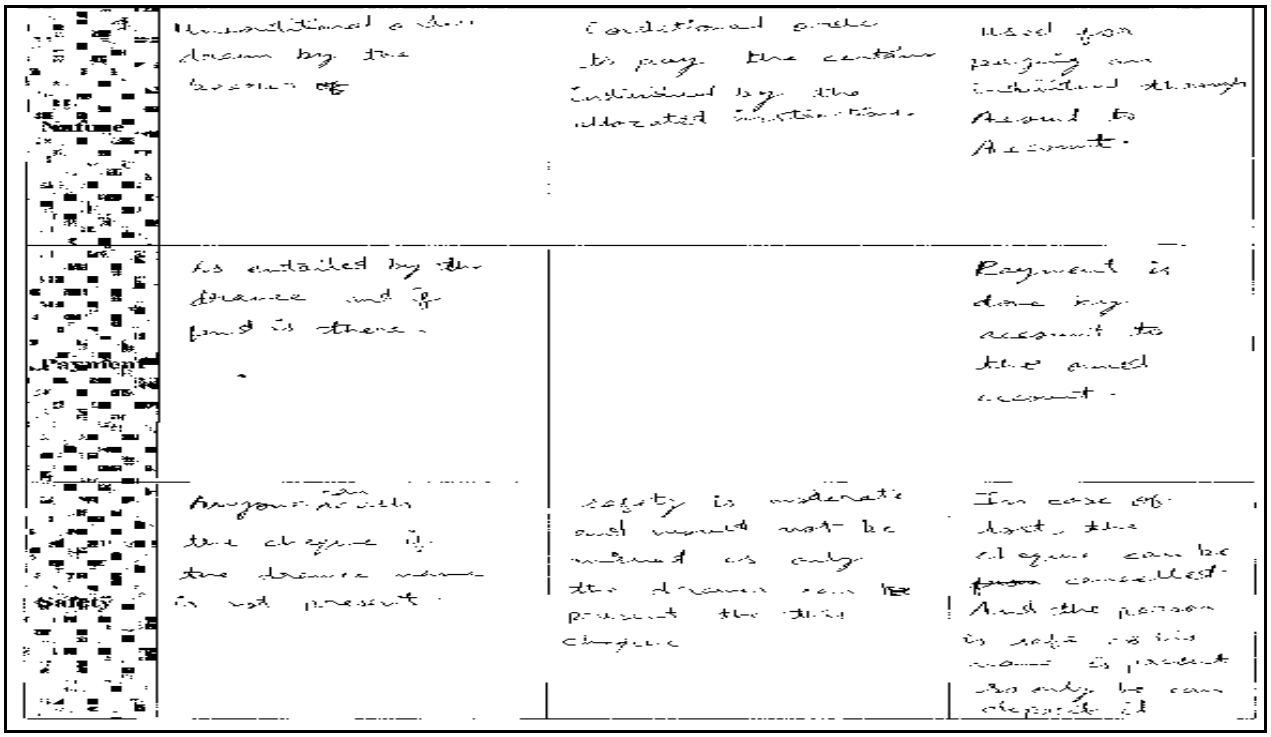
Example:



Nature	The bearer cheque is a cheque which is issued upon bank and can be collected by anyone	The order cheque is a cheque which is issued upon bank and can be collected by the person whose name is written in payee section.	This cheque can only be deposited in bank and a cheque can be crossed by making two parallel lines on top-left corner of cheque.
Payment	It can be paid to anyone. The amount is paid by bank to anybody.	The amount is paid to the only person whose name is written on the cheque	It is not paid to anybody and can only be deposited in the person's bank account
Safety	It is not safe as the amount can be given to the holder of cheque whether he is the actual person whom the cheque was directed or a theif	It is a safer option as the bank only pays to the person whose name is written on the cheque	It is the safest option as no amount is given in hand and directly transferred to the account number on the cheque

In *weaker responses*, candidates were unable to distinguish among the given terms. In most of the weaker responses, candidates wrote irrelevant or vague statements. However, in fewer responses, candidates used incomplete phrases or bullet points which were not able to distinguished the given financial instruments.

Example:



Question 12b:

On June 1, 2018 Saleem sold goods to Naveed on credit for Rs 50,000. Naveed ordered his supplier Shahid to pay on his behalf. Saleem drew a two months bill and sent it to Shahid for acceptance. On June 05, 2018, Saleem received the acceptance from Shahid.

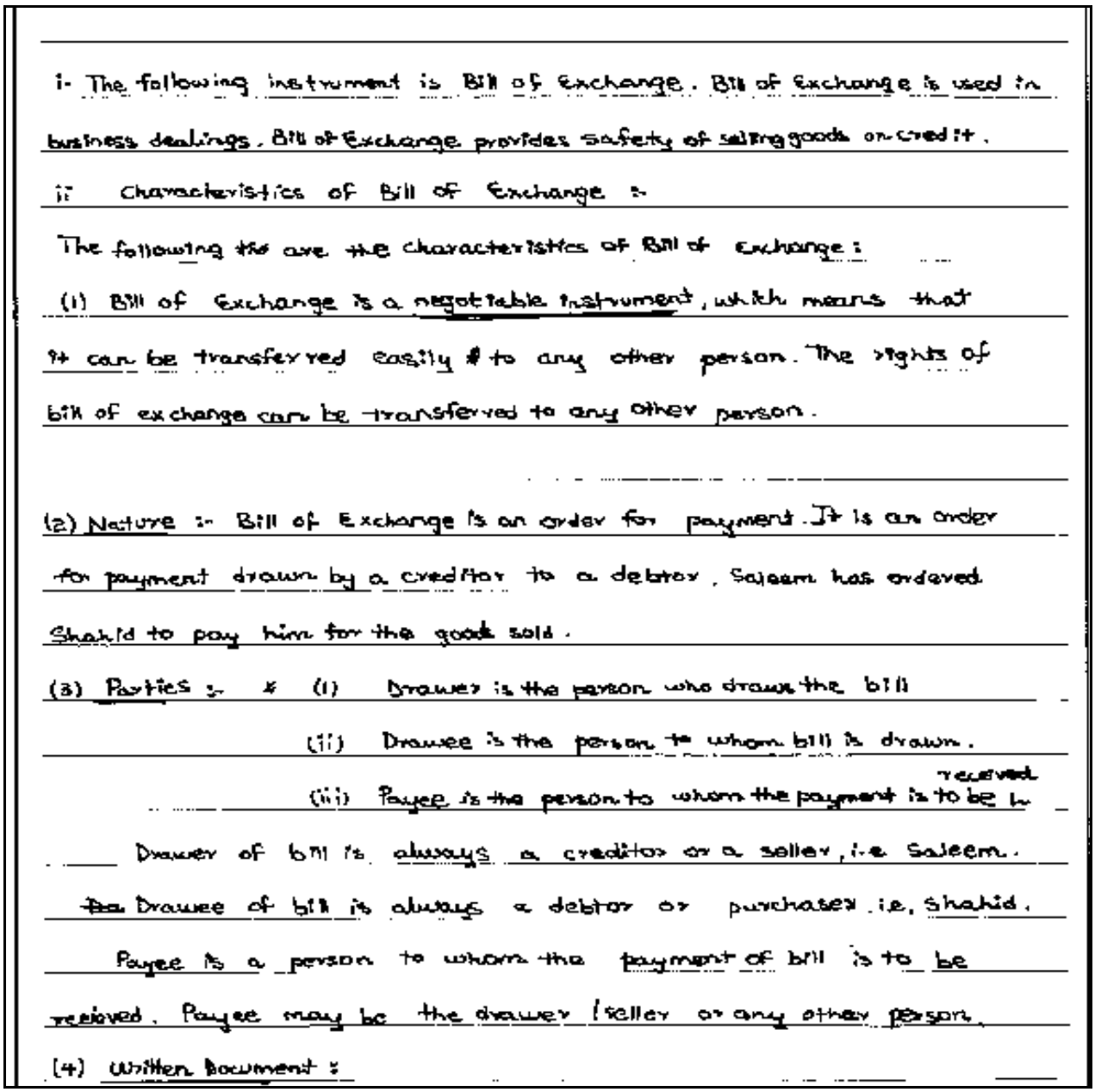
With reference to the given situation, answer the following

i. Identify the given instrument.

ii. Describe any FOUR characteristics of instrument identified in part i.

Better responses correctly identified the given instrument and describe the required characteristics. However, candidates mostly wrote characteristics and rephrased any one out of three points to produce the fourth point.

Example:



i- The following instrument is Bill of Exchange. Bill of Exchange is used in business dealings. Bill of Exchange provides safety of selling goods on credit.

ii Characteristics of Bill of Exchange :-

The following the are the characteristics of Bill of Exchange :

(1) Bill of Exchange is a negotiable instrument, which means that it can be transferred easily # to any other person. The rights of bill of exchange can be transferred to any other person.

(2) Nature :- Bill of Exchange is an order for payment. It is an order for payment drawn by a creditor to a debtor. Saleem has ordered Shahid to pay him for the good sold.

(3) Parties :- (i) Drawer is the person who draws the bill

(ii) Drawee is the person to whom bill is drawn.

(iii) Payee is the person to whom the payment is to be received

Drawer of bill is always a creditor or a seller, i.e. Saleem.

Drawee of bill is always a debtor or purchaser i.e. Shahid.

Payee is a person to whom the payment of bill is to be received. Payee may be the drawer / seller or any other person.

(4) Written Document :-

In *Weaker responses* candidates could not identify the wrong credit instrument In few weaker responses, the candidate mixed the characteristics of the instrument with the other instruments. Some of them identified the correct instrument but wrote features and characteristics of the any other instrument. In some of the weaker responses candidates wrote short phrases or bullet points which were not descriptive. These responses awarded marks were for only discussing the features.

Example:

(i) Bill of Exchange.

(ii) Characteristics:-

1) A non-negotiable instrument.

2) A proof of payement.

3) Easy transfer of funds.

4) A guarantee provider.

5) Importer prepares it and sends it to the exporter.